GMS WEEKLY

Your Source for Recycling News

December 8th, 2023
Volume 256, Issue 1112
Week 49

Highlights:

- **Slumping.**
- **Below 500.**
- **Tentative offers.**
- **Bangla inert.**
- **UAE law.**
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QUOTE of the WEEK

"Strive not to be a success, but rather to be of value."

– Albert Einstein

MARKET COMMENTARY

LACKLUSTER!

The lackluster end to the year in sub continent recycling markets continues for another week as disappointed owners and cash buyers face selling their inventory into markets where prices have slumped.

Indeed, several dry bulk sales were done below USD 500/LT LDT into India in the lowest confirmed deals for several months.

Steel prices have declined in India by almost 10 percent, in a shock to many, particularly as international steel prices have pushed on to an impressive extent over the last month.

As such the offering and buying has been extremely tentative of late, with end buyers preferring to wait and watch market developments before offering firm on tonnage again.

Bangladesh and Pakistan meanwhile continue to face LC / financing difficulties and minimal deals have been confirmed to those markets as a result.

Chittagong may stay inert right up until the elections in mid January next year, with many hoping a change in regime brings some stimulus to the local economy and international exports in particular.

It is therefore encouraging to see dry bulk charter markets showing signs of life, and this is subsequently depriving recycling locations of tonnage at a time of considerable malaise there.

In other news, the UAE issued a new law yesterday which will come into force in March, 2024 and limit any UAE flagged or any foreign flagged vessels coming from UAE for HKC only recycling in the sub continent – along with some contradictory wording prohibiting 'beaching'. Further clarifications are needed however to understand the full extend of the restrictions.

For week 49 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Pakistan*	Weak	510 / LDT	530 / LDT	550 / LDT
2	India	Weak	500 / LDT	520 / LDT	540 / LDT
3	Bangladesh*	Weak	490 / LDT	510 / LDT	530 / LDT
4	Turkey	Improving	305 / LDT	315 / LDT	325 / LDT

**Subject L/C approval*

BANGLADESH

RESTRICTED!

Lowest placed.

As the lowest placed sub continent market with virtually no offers emanating from local buyers, there was very little to report for another week in a subdued Bangladesh.

Many are targeting purchases post election in mid January of next year – assuming a change in regime brings with it a boost to the economy.

No deals.

Financing from banks remains the chief struggle for most buyers, and as long as LCs remain restricted, expect very few deals to be confirmed to Bangladesh for the remainder of the year.

NO MARKET SALES REPORTED

INDIA

RATTLED!

The Indian market has slumped yet further this week, and several dry bulk deals have been done below USD 500/LDT by desperate cash buyers, fearful that perhaps further falls may be forthcoming ahead.

Slumping.

Steel prices actually improved by USD 10/LDT across the week in India, but so rattled have end buyers been by the recent deterioration in prices, that there was little realised impact on new offers.

The hope is that sentiments may improve going into the new year, but as it stands India is a market worth avoiding at present, and a slowdown in supply has perhaps come at an opportune time to give end buyers there a breather.

Worth avoiding.

NO MARKET SALES REPORTED

PAKISTAN

FEW DEALS DONE!

Top placed.

As the top placed sub continent market, local buyers in Pakistan were able to secure several deals – mostly panamax sized bulkers to the few capable end buyers that have LC approval.

However, it really is slow progress in Gadani as LC approvals are only coming through very slowly to limited buyers who have bank approval.

HKC work.

The hard work must start in earnest in Pakistan to upgrade facilities now that they have agreed to adhere to the Hong Kong Convention ahead of its accession into force in 2025. As the closest market to the UAE, this has become even more relevant and important given the news from there this week on new laws concerning the recycling of ships – affecting both UAE and international flagged tonnage.

NO MARKET SALES REPORTED

TURKEY

FIRMER YET!

Turkey continues to surprise the industry, with weekly ongoing improvements amidst a key depreciating fundamental that should have taken the steam entirely out of its domestic ship-recycling market.

USD 8/MT jump.

As import steel plate prices improved by another USD 8/Ton, which may have (directly or indirectly) affected local offerings by another USD 5/MT this week, the Lira continues to commensurate its ongoing demise against the U.S. Dollar, as it treads deeper towards an eventual TRY 29 leap.

Closer to TRY 29?

Overall, this market, while firming, continues to suffer from the deathly starvation of meaningful tonnage.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *There are more plastic flamingos in the world than real ones.*
- *The world's quietest room is located at Microsoft's headquarters in Washington.*
- *The population of the Earth is about 8 billion people.*
- *The world's oldest known piece of chewing gum is made from birch bark tar.*
- *There are more atoms in a single grain of sand than there are stars in the Milky Way galaxy.*
- *You are taller in the morning than you are in the evening.*
- *The average person passes gas about 14 times per day.*
- *Your eyes blink about 15-20 times per minute.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
December 24 – Christmas Eve December 25 – Christmas Day December 26 – Christmas Holiday December 31 – New Year's Eve	November 12 – November 19 November 25 – December 02 December 11 – December 19 December 24 – December 31

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
December 16 – Victory Day December 25 – Christmas Day December 31 – Bank Holiday	November 25 – November 28 December 12 – December 15 December 26 – December 29

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in December	December 25 – Quaid-e-Azam Day December 26 - Day After Christmas	**No holidays in December**

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ALANG - Port Position as of November 24, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Diamond Way	3,016	Bulker	Beached December 2
2	Western V	868	Fish Carrier	Beached December 2
Total Tonnage		**3,884**		

CHATTOGRAM - Port Position as of November 24, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Shun Shin	527	General Cargo	Arrived December 1
Total Tonnage		**527**		

GADANI - Port Position as of November 24, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported.		
Total Tonnage		**0**		

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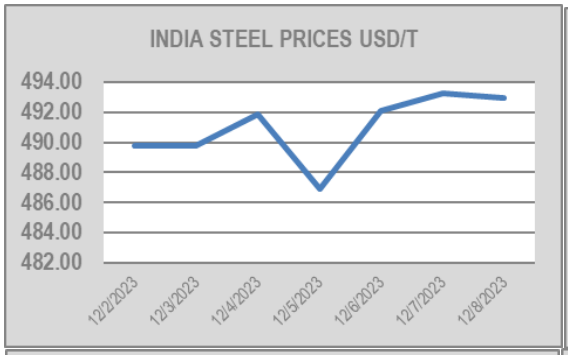
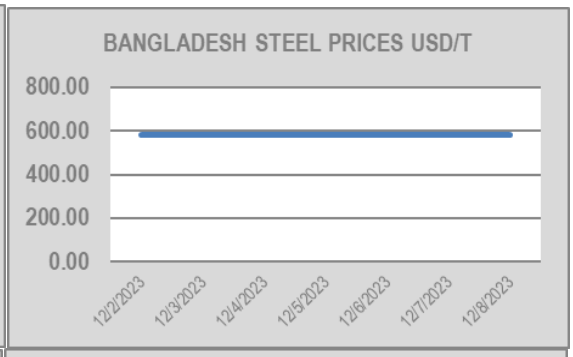
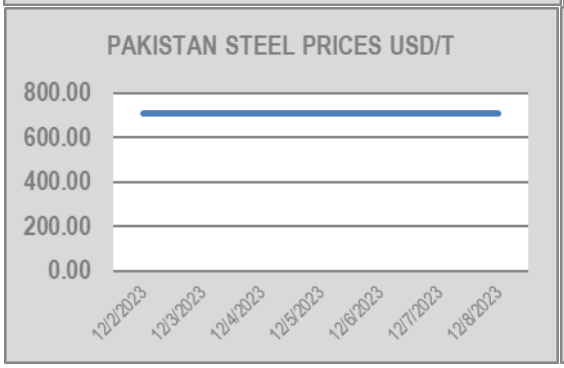
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
12/2/2023	489.80	40,800.00	706.71	200,000.00	581.30	71,500.00	364.96
12/3/2023	489.80	40,800.00	706.71	200,000.00	581.30	71,500.00	364.96
12/4/2023	491.84	41,000.00	706.71	200,000.00	581.30	71,500.00	365.44
12/5/2023	486.93	40,600.00	706.71	200,000.00	581.30	71,500.00	364.84
12/6/2023	492.08	41,000.00	706.71	200,000.00	581.30	71,500.00	364.84
12/7/2023	493.28	41,100.00	706.71	200,000.00	581.30	71,500.00	364.84
12/8/2023	492.92	41,100.00	706.71	200,000.00	581.30	71,500.00	365.99







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